

WHERE MULTIPLE RENTAL-MARKET PRESSURE SIGNALS APPEAR TOGETHER

Canadian Rental Market Pressure Analysis

Comparing cost, availability, and recent change across 43 Canadian rental markets
Python + SQL + CMHC Rental Market Data (2024-2025)

Which rental markets showed combined pressure signals?

We evaluate conditions using four distinct benchmarks rather than absolute rent alone.

The Key Research Question:

Which Canadian rental markets showed combinations of high rent, low vacancy, rapid rent growth, or declining vacancy between 2024 and 2025?

A higher score does not necessarily mean higher rent; it means more pressure signals occurred at the exact same time. This isolates rapidly changing local environments.

High 2BR Rent

Rent $\geq$ \$1,802

Based on 75th percentile of centres.

Low Vacancy Rate

Vacancy $\leq$ 2.5%

Indicates highly constrained supply.

Rapid Rent Growth

YoY Growth $\geq$ 6.1%

Reflects accelerating local demand.

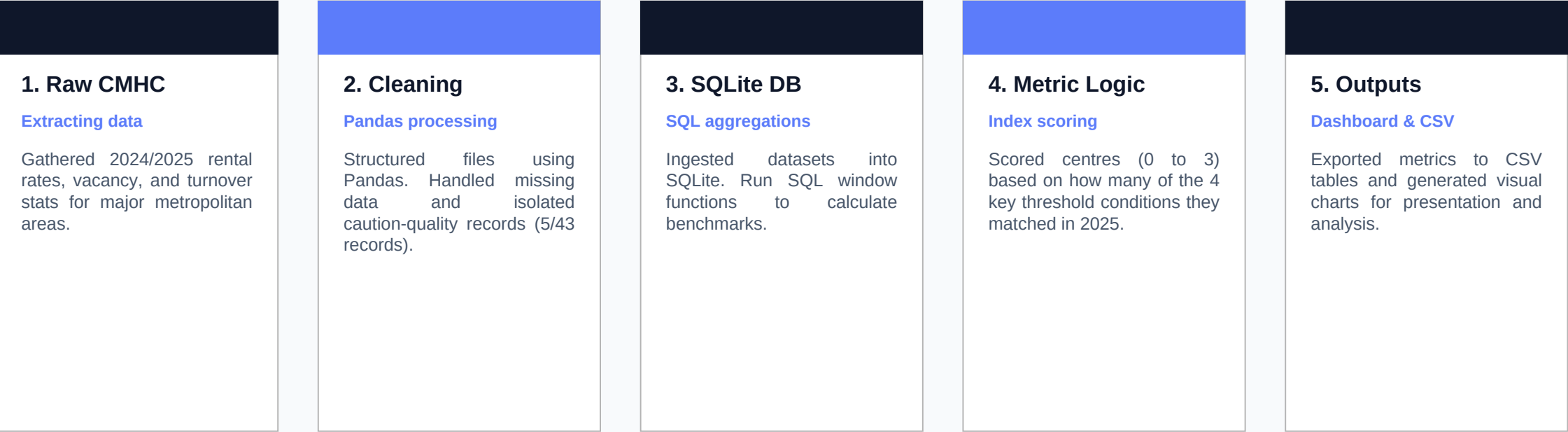
Vacancy Tightening

Rate Decreased YoY

Points to market availability shrinking.

Project Workflow & Data Methodology

A rigorous pipeline from raw CMHC datasets to SQLite database tables and pressure metrics.



Dataset Coverage: 43 major metropolitan areas (CMAs). 38 reliable records were used for formulating data-driven benchmarks. 5 caution-quality records (Lethbridge, Charlottetown, Abbotsford-Mission, Gatineau (QC part), and Windsor) were preserved for completeness but excluded from benchmark calculations.

Markets with the most combined pressure signals

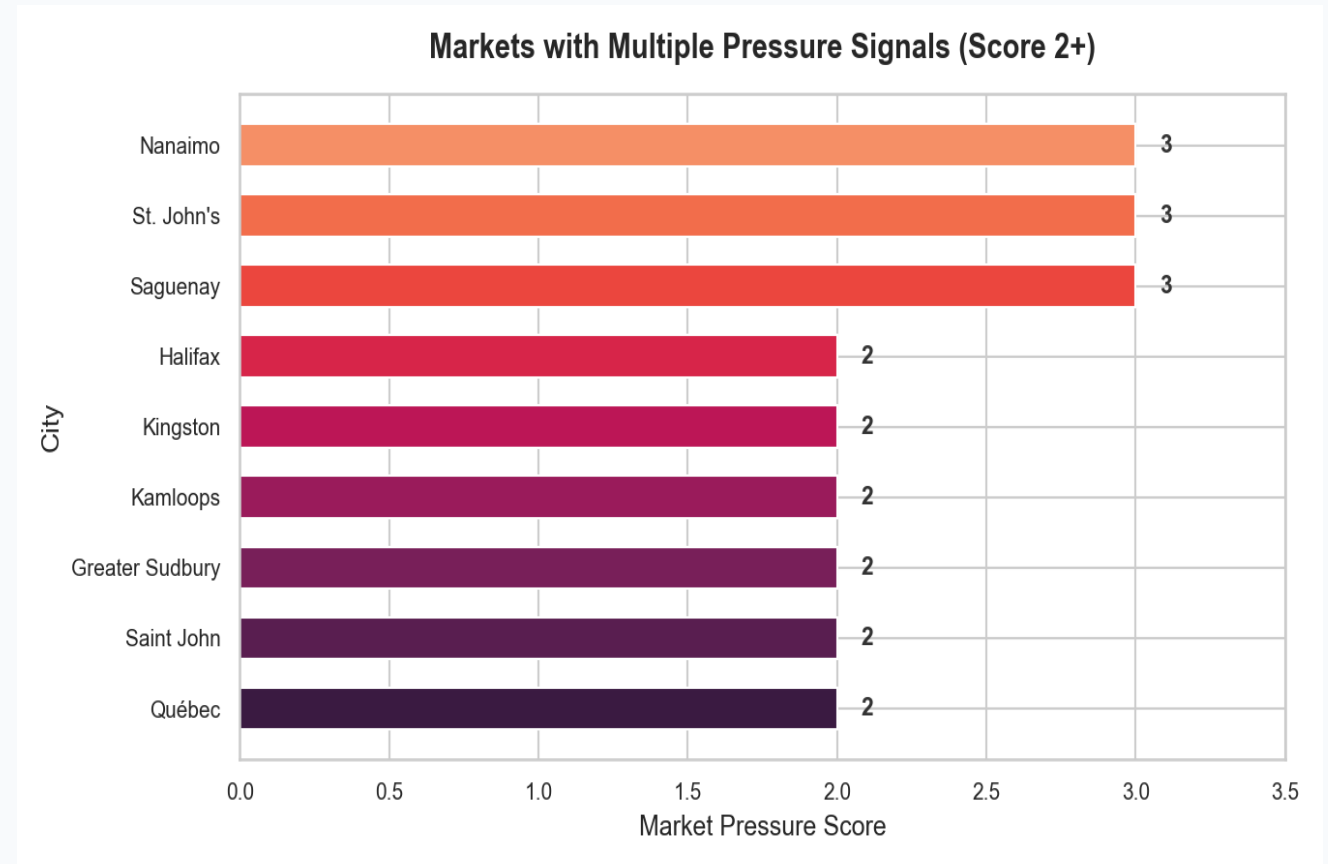
A higher score does not necessarily mean higher rent; it means more selected signals occurred at the same time.

Combined Signals Summary:

- **Lead Markets (Score 3):** Nanaimo, St. John's, and Saguenay had three indicators active simultaneously, reflecting highly dynamic or tightening conditions.

- **Moderate Pressure (Score 2):** Halifax, Kingston, Kamloops, Sudbury, Saint John, and Quebec hit exactly two pressure signals.

- **Signal Mismatch Example:** Nanaimo (\$1,910) is a high-rent market, but St. John's (\$1,361) and Saguenay (\$985) are not high-rent. Yet they score high due to tight supply and rapid growth.



Highest 2025 Two-Bedroom Rents (Cost Story)

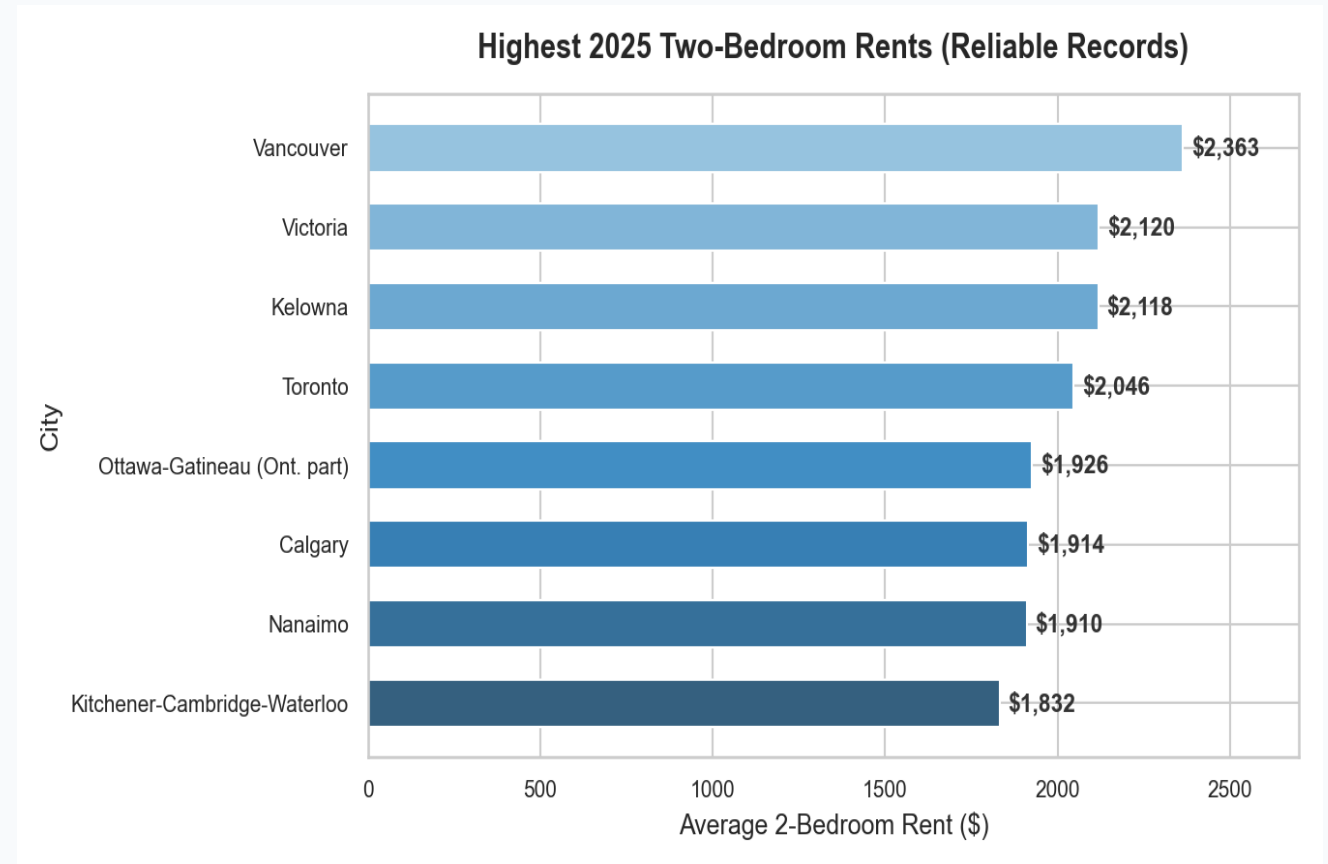
Isolating the most expensive rental markets in Canada by absolute monthly cost.

The Cost Perspective:

- **Top Rents:** Vancouver (\$2,363), Victoria (\$2,120), Kelowna (\$2,118), and Toronto (\$2,046) lead the country in absolute pricing.

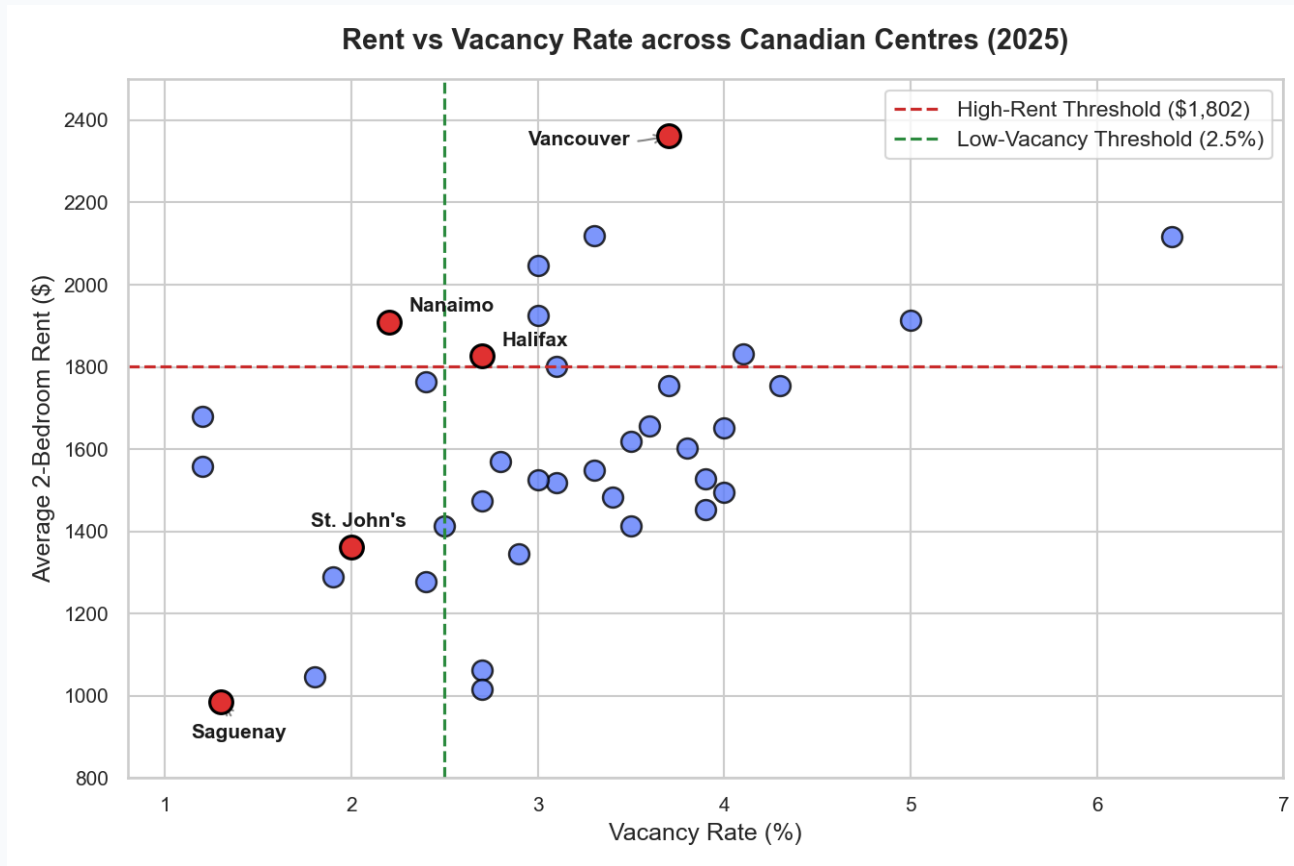
- **Mid-High Tier:** Ottawa-Gatineau (ON part) at \$1,926, Calgary at \$1,914, Nanaimo at \$1,910, and Halifax at \$1,826 cross our high-rent benchmark of \$1,802.

- **Note on Saguenay/St. John's:** These high-pressure markets do not appear here. Saguenay (\$985) is the second lowest rent in the dataset, and St. John's (\$1,361) is below average.



Rent vs. Vacancy Rate Analysis

Visualizing how absolute cost and current vacancy rate intersect to define rental pressure.



Understanding the Quadrants:

- **High Rent + Low Vacancy (Top-Left):** Nanaimo occupies this quadrant. Halifax and Kingston sit close to it, highlighting intense strain.
- **High Rent + Higher Vacancy (Top-Right):** Vancouver has the highest rent (\$2,363) but vacancy eased to 3.7%, illustrating that high rent is only one dimension.
- **Low Rent + Tight Vacancy (Bottom-Left):** Saguenay has low rent (\$985) but extremely low vacancy (1.3%) and rapid growth, signaling a market heating up fast.

Conclusions & Study Limitations

Balancing clear action points with statistical rigor and dataset boundaries.

Key Takeaways

- **Two Separate Patterns:** The analysis separates high-cost markets from markets with rapidly tightening rental conditions.
- **High-Cost Markets:** Vancouver and Toronto had the highest two-bedroom rents in the dataset, but didn't match tightening signals in 2025.
- **Combined Pressure:** Nanaimo combined high rent with low and declining vacancy. St. John's and Saguenay were not high-rent but had very low vacancy and rapid growth.
- **Monitoring Priority:** Markets with multiple signals may warrant closer monitoring, but the score does not measure affordability or identify causes.

Analytical Limitations

- **2-Bedroom Proxy:** Rent analysis is based solely on 2-Bedroom apartments, representing a standard benchmark but not capturing all sizes or demographics.
- **Affordability Boundary:** No local median income data is incorporated in this study; this index represents supply pressure, not household affordability.
- **Short Time Window:** The study compares 2024-2025 data, capturing immediate shifts but not reflecting long-term structural trends or cycles.
- **Correlation Not Causation:** This index describes rental pressure signals but does not explain underlying economic drivers (e.g., migration, zoning laws).